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— Financial Services —

Understanding Universal Life Insurance (UL)

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A Universal Life (UL) Plan is created by combining two distinct components: 1) a guaranteed life insurance contract, and 2) a tax-exempt investment account. Understanding how these two separate elements integrate is the key to demystifying the Plan and maximizing its potential.

First and foremost, UL is a contract to purchase a permanent, level, guaranteed life insurance policy (the UL Policy). Alongside this foundational insurance contract sits a secondary feature: a tax-exempt depository (the UL Account). In short, the client establishes a permanent life insurance policy and utilizes the tax-free investment environment to accumulate capital. The tax-free growth is then used to automatically pay the ongoing costs of the insurance policy. The goal of the Plan is funding efficiency.

Part 1. The UL Policy (Coverage & COI Charges)

The foundation of a UL Policy is the guaranteed life insurance contract. This component provides a permanent, level, guaranteed death benefit face amount that is contractually fixed for life.

To maintain this coverage in force, the Policy incurs annual (or monthly) Insurance Charges. These charges are based on a contractual, guaranteed Cost of Insurance (COI) rate table that is locked at issue and cannot be altered or increased by the insurance carrier. These COI rates are printed in your UL contract and are applied directly to the net amount of coverage at risk to generate the precise annual Insurance Charges.

The locked-in COI rate table can be set to increase annually up to a specific age (typically age 70, 85, or 100), or it can be levelized to age 100. In either case, once the scheduled rate period ends, the annual Insurance Charges drop to zero, and the full coverage remains permanently in force for life without any further costs. *(Practically, a policyholder could maintain this coverage by simply paying these Insurance Charges annually, making the contract function like a traditional, permanent Term-to-Life policy.)*

At death, the face amount is paid out 100% tax-free to the beneficiaries. If the Policy is owned by a corporation, the payout also generates a credit to the corporation's Capital Dividend Account (CDA), allowing the proceeds to be distributed to shareholders tax-free.

Part 2. The UL Fund (Tax-Exempt Investment Chassis)

Alongside the guaranteed insurance component, the UL Plan provides a second feature: a tax-exempt depository called **the UL Account**. Deposits made into this account can be allocated across a wide range of **Investment Funds**, including mutual funds, bond funds, fixed-income products, and popular index funds (like the S&P 500, NASDAQ, and TSX), as well as specialty funds managed by institutional firms like BlackRock and Fidelity.

Similar to an RRSP or a private pension fund, capital within **the UL Account** grows and compounds entirely tax-free. Furthermore, portfolio positions can be bought, sold, and rebalanced throughout the year within the account without triggering any capital gains or passive income taxes.

Note 1: (The MTAR Limit) The federal government regulates this tax-free environment by setting a maximum allowable limit known as the annual MTAR (Maximum Tax Actuarial Reserve) line. If capital exceeds this limit, the excess is placed into a taxable side account. These excess funds will automatically be swept back into the tax-exempt **UL Account** once new room becomes available under the growing MTAR limit.

Note 2: (Smoothed Funds) For policyholders seeking to minimize market risk, carriers offer proprietary "Smoothed Funds" (e.g., the Sun Life SLDA Fund or the Manulife Gold Fund). These utilize internal amortization methods known as "smoothing" to provide a capital-protected environment with a non-negative return guarantee and near-zero volatility, typically generating steady returns of 4% to 5%.

Combining Part 1 & Part 2 (Funding Dynamics)

The two components come together in a unique way: to pay for the contractual **Insurance Charges** described in Part 1, the carrier automatically draws the required charges directly from **the UL Account** described in Part 2. This means that the money deposited into **the UL Account** compounds entirely tax-free, while the carrier simultaneously clears the annual charges directly from that account, also tax-free. In this sense, the UL Plan functions as a tax-exempt depository—akin to a private pension or an RRSP—that serves as the dedicated source of funds to cover your permanent insurance liabilities, all within one integrated structure.

Consequently, a standard UL financial illustration is not a rigid premium schedule, but rather a suggested deposit timeline engineered to put the Plan into a self-funding equilibrium based on your preferred funding window and a conservative target rate of return.

Depending on the specific design options selected at issue, any excess capital remaining in **the UL Account** at death can be paid out 100% tax-free to beneficiaries, in addition to the insurance face amount (**Level+Fund**). Alternatively, the accumulated funds can be used dynamically to reduce the carrier's net amount at risk, which systematically lowers the ongoing Insurance Charges (**Level UL**). In this scenario, any remaining excess funds can be withdrawn during your lifetime, though standard taxes would apply to any withdrawals that exceed the Adjusted Cost Basis (ACB).

By integrating tax-free growth with a permanent life insurance contract, you create an efficient, self-funding financial tool. Instead of paying your ongoing **Insurance Charges** out-of-pocket using after-tax personal or corporate dollars, your tax-free investment returns pay those costs for you.

Structural Frictions & Trade-Offs

While highly tax-advantaged, UL introduces specific economic constraints. Deposits are subject to a one-time provincial premium tax (3.3% in Quebec; 2.0% in other provinces) before being deposited into **the UL Account**. Additionally, internal management fees for the underlying **Investment Funds** typically range from 0% (Smoothed Funds) to 1.5% (BlackRock, Fidelity, etc.), which is generally higher than public retail ETFs. This friction is the explicit trade-off required to completely eliminate the annual tax drag on growth and enable tax-free asset rebalancing.

Finally, the capital is structurally optimized to remain inside the contract; direct lifetime cash withdrawals from **the UL Account** can be tax-inefficient. If liquidity is required, assets can instead be accessed cleanly by using **the UL Policy** as collateral for a secured third-party bank loan.

The Bottom Line

Whether implemented as a personal or corporate strategy, the UL Policy is fundamentally an efficiency tool. By leveraging tax-free market growth to automatically fund the locked-in **Insurance Charges**, the Plan secures a maximized, tax-free estate transfer while demanding the minimum out-of-pocket cash flow over a lifetime.